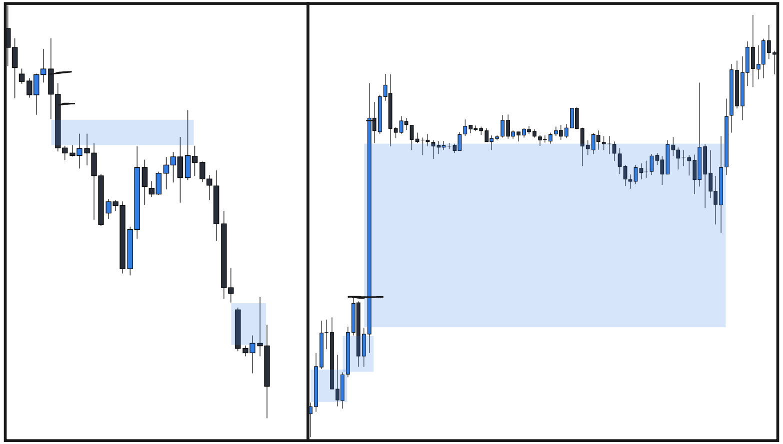
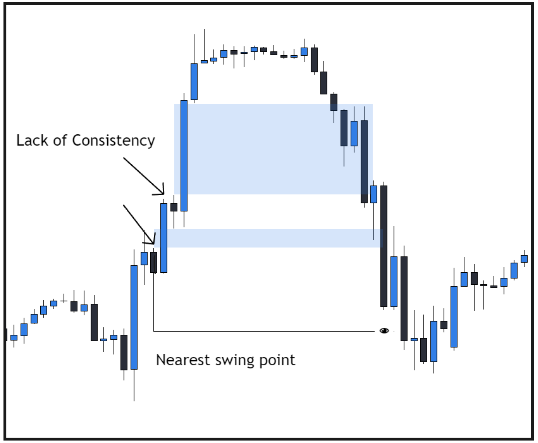


One - Sided

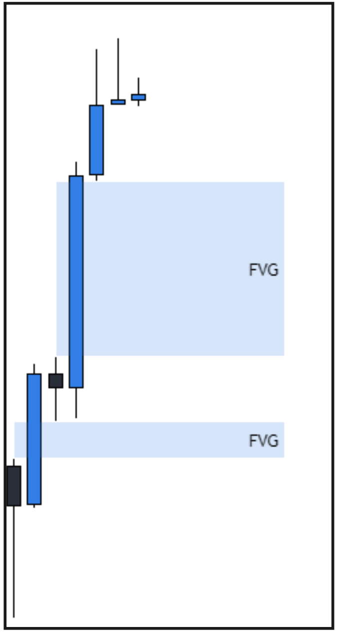
- Consistent candles
- All in same direction
- Displacement
- High probability to Continue

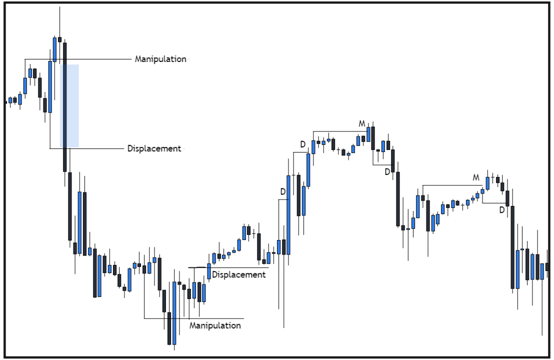


Two - Sided

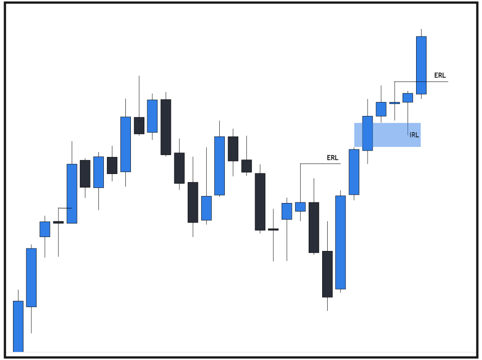
- Indecisive candles
- Not all in same direction
- Lack of displacement
- Low probability to continue

- FVG = 3 candle formation with expansive middle candle causing a gap between the wicks of candles 1 and 3
- FVGs show displacement in the market and a desire to move towards a further target
- FVGs can be used for everything from higher time frame levels, directional bias, trade entries, and stop losses
- Some FVGs have a higher probability of continuing than others





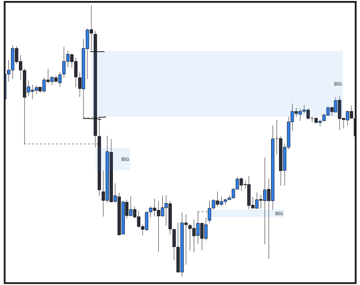
Displacement



IRL > ERL

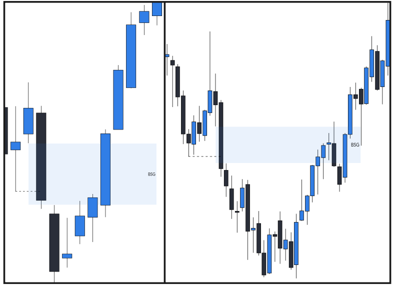
- Displacement = Continuation
- Manipulation = Reversal
- Displacement is confirmed with FVGs
- How the market reacts to highs and lows tells you everything

- Price is always moving to a high, low, or fvg
- External Range Liquidity (ERL) = High/Low
- Internal Range Liquidity (IRL) = FVG
- LTF tells you when the move begins
- Market Maker Models are always present



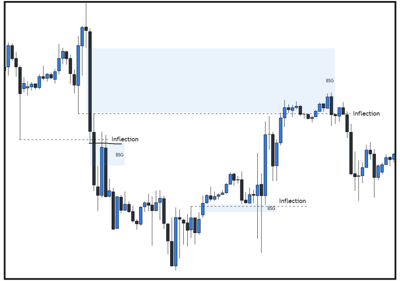
BSG

- BSG = Break Structure Gap
- BSG are the most important FVGs as they are the life blood of a trend
- BSG must follow consistency rule



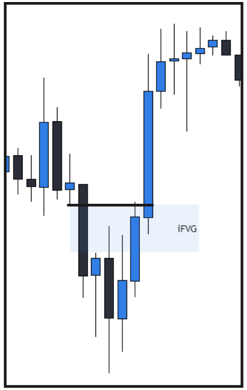
Failed BSG

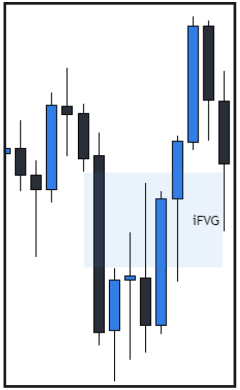
- If a BSG fails, look for the opposing swing point as a target
- Failure = opposing candle closes through, or inverts
- Can be used as an opposing level after inversion

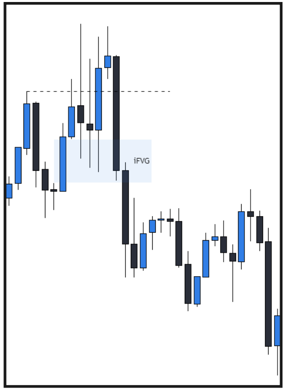


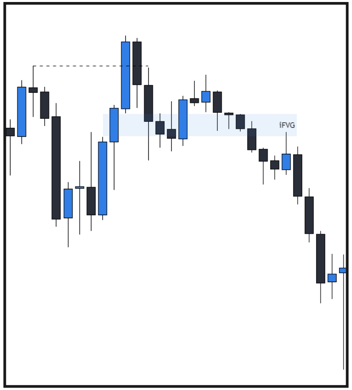
Inflection Points

- Inflection points are found by extending out the level of structure that was broken
- Inflection point + BSG = key level
- Should see displacement away from IP if price is going to continue

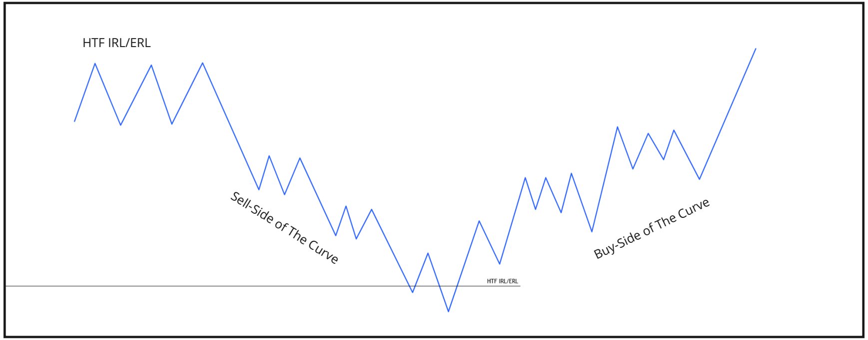








- iFVG = inverted fair value gap
- High probability iFVGs occur:
    - At two-sided gaps
    - At BSGs,
    - After sweeps of liquidity
- When iFVG is confirmed, look for opposing liquidity
- Can be used for entry or bias



Alignment

- Monthly > Daily
- Weekly > H4
- Daily > H1
- H4 > M15
- H1 > M5
- M15 > M1

What is a Market Maker Model?

A market maker model (mmxm) is a strategy to visualize retracements and expansions on a lower timeframe.

Why use Market Maker Models?

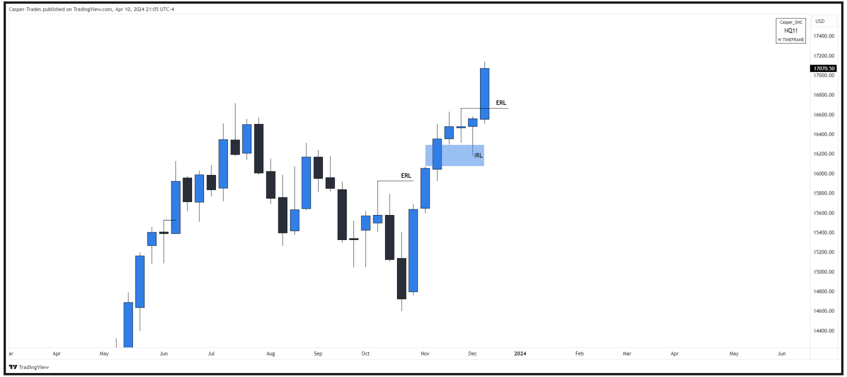
MMXM help you identify what side of the curve we're on, and confirm your higher time frame bias. They also provide you with trade entries and stop loss placement.

What is Daily Bias?

Daily bias is the direction that you're anticipating the current daily candle to close. In simple terms, are buyers or sellers in control.

Why is it important??

When bias is clear, all you have to do is wait for an entry model during the trading session.



- Price is always moving to a high, low, or fvg
- External Range Liquidity (ERL) = High/Low
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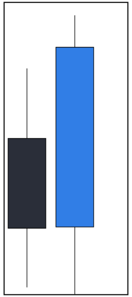
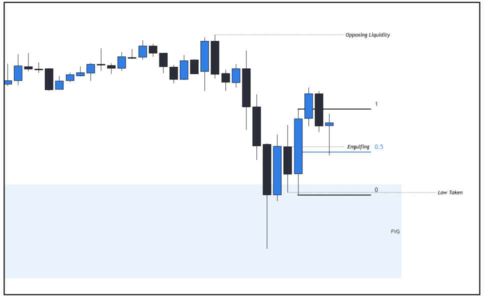
- LTF tells you when the move begins
- Market Maker Models are always present

Weekly H4 M15

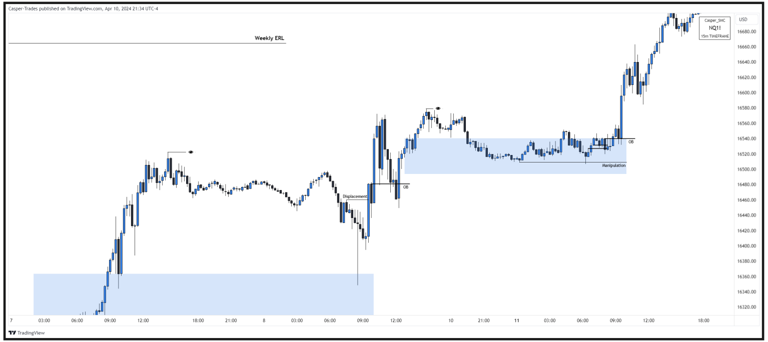


Sweep + Engulfing

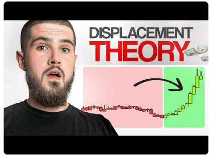
Key Level to Key level



Use Premium/Discount of Candle Range



- Which side of the market is failing?
- FVGs
- OBs
- Structure (Manipulation vs Displacement)



This Made Trading "Click" For Me (Displacement Theory)
YouTube

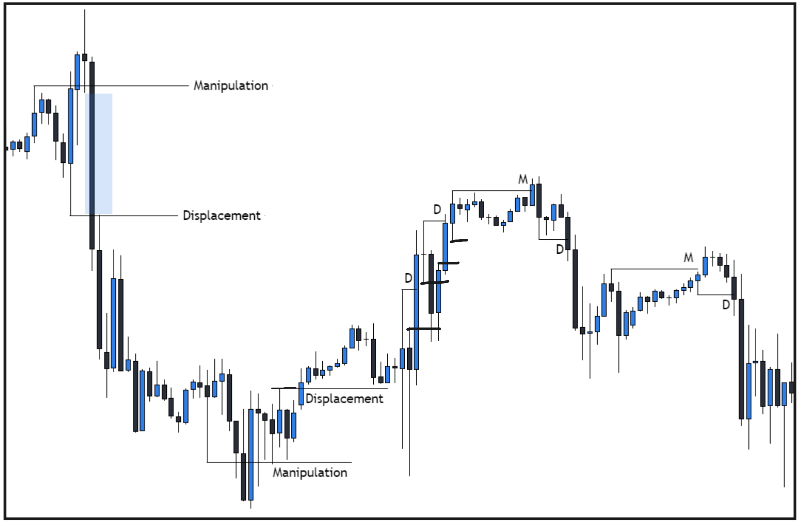
What is Market Structure?

Market structure is simply highs and lows. The key is knowing which highs and lows to use, and having a practical method of finding them

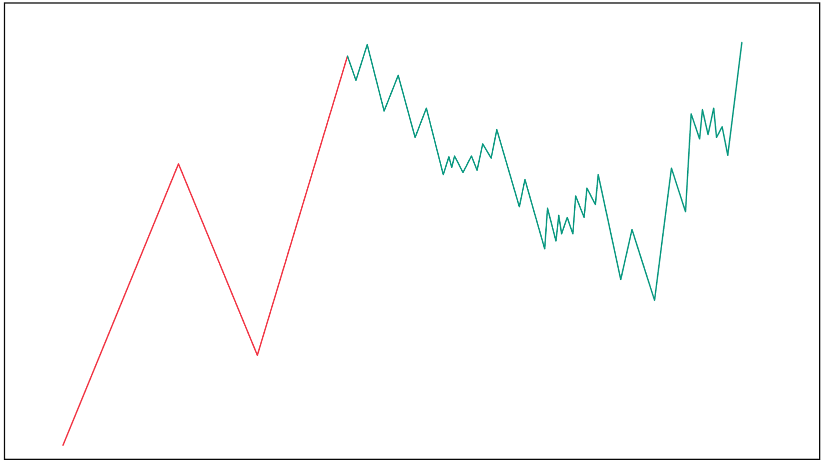
Why is it important?

Market structure is the foundation of your analysis, and is involved in almost every price action trading concept, yet most people do it completely wrong.

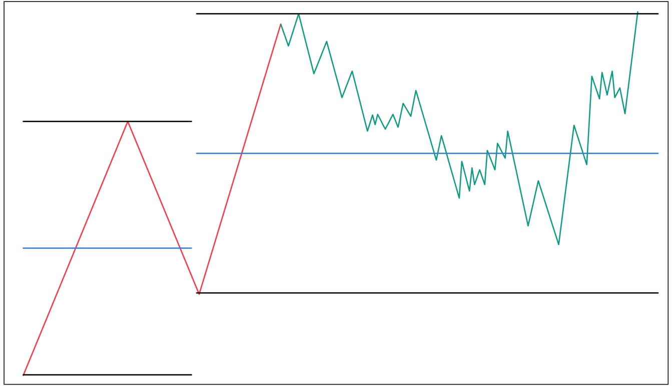
- Manipulation legs fail to "displace" or push rapidly BEYOND structure
- Displacement legs DISPLACE or push rapidly through structure
- Manipulation = reversal
- Displacement = continuation
- Pair with other concepts for higher probability than when used alone

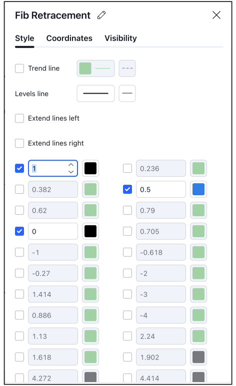


- Impulse structure is structure that forms with displacement and fair value gaps (FVG)
- HTF impulses = many LTF impulses
- Impulses can be used to confirm HTF zones
- Don't pay attention to structure that isn't an impulse (MvD)
- All trends come to an end, and there is a way to gauge when impulses are likely to return



- If trading is a business, candles are your product
- Do you want to sell your product for a premium, or a discount?
- Do you want to buy your product for a premium, or a discount?
- 0.5 of impulse = fair market value
- Above fair market value = premium
- Below fair market value = discount
- Reversals are likely to happen in premium or discount in context of the previous price leg





What is Liquidity?

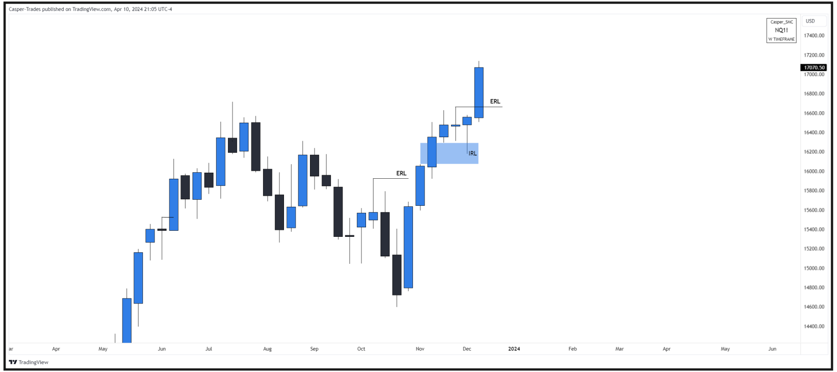
Liquidity is the ease at which an asset can be bought or sold. We look for liquidity beyond highs or lows, as there are stop losses placed using these levels. On a chart we view this using tools such as highs and lows or fair value gaps.

Why is it important?

In a bullish market, you buy from sellers, under lows, at sell-side liquidity.

In a bearish market, you sell to buyers, above highs, at buy-side liquidity.

This is how the large market participants operate, and so should you.



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- External Range Liquidity (ERL) = High/Low
- Internal Range Liquidity (IRL) = FVG
- LTF tells you when the move begins
- Market Maker Models are always present

What are Order Blocks?

Order blocks are candles formed just before expansive moves in price that can later be used as support or resistance. In a bullish market, price should find support on down close candles. In a bearish market, price should find resistance on up close candles

Why is it important?

Order blocks can be used for many purposes, such as entering trades, trailing stop losses, determining directional bias, and more.

FOOTPRINT #2
Orderblocks

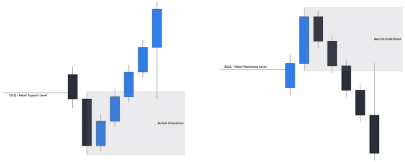
ORDER BLOCKS

The Order Block represents a critical price range or candle where institutions engage in buying or selling against retail trends, capitalizing on liquidity provided by the masses.

Market makers strategically manipulate the market to their advantage, ultimately pushing it back to these order blocks to manage their losses effectively.

Closing long positions generates selling pressure, while closing short positions generates buying pressure. Order blocks materialize only when the prevailing trend persists.

An Orderblock is activated once it is engulfed by the opposing side of the market's candles.



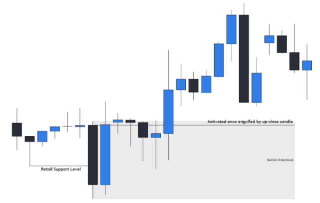
Bullish Orderblock:

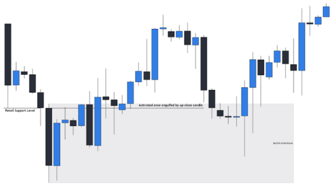
The lowest candle with a down-close that has the most range between Open to Close and is near a support level

Bearish Orderblock:

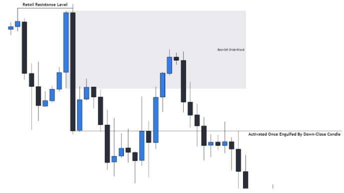
The highest candle with an up-close that has the most range between Open to Close and is near a support level

EXAMPLES
Orderblocks





EXAMPLES
Orderblocks



FOOTPRINT #1
Manipulation Blocks

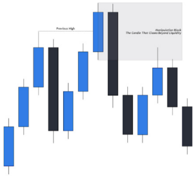
MANIPULATION BLOCKS

A manipulation block is the candle that purges liquidity. In the situation that there is a candle after a candle that wicked the liquidity, the candle that closes above/below the liquidity level (previous high or low) is the Manipulation Block.

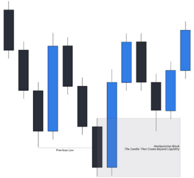
This is called a manipulation block because it is the big players manipulating price to stop out the masses, then continuing the true market move.

A Manipulation Block is activated when the market reverses and displaces through the Manipulation Block.

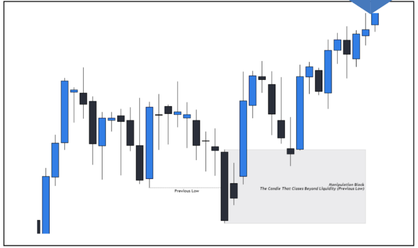
BEARISH MB (UPCLOSE CANDLE)

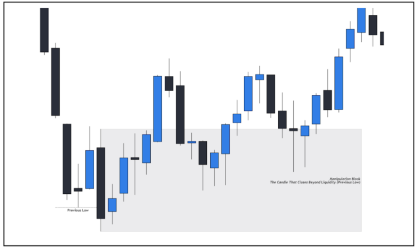


BULLISH MB (DOWNCLOSE CANDLE)



EXAMPLES
Manipulation Blocks





EXAMPLES
Manipulation Blocks

What are Breaker Blocks?

Breaker blocks are powerful levels in price that occur before raids on liquidity, which is the backbone of the trading methodology I'm teaching you

Why are they important?

Breaker blocks often occur at key times of the day when we're expecting liquidity sweeps, and can be used to enter high probability trades. They're especially powerful when linked with fair value gaps.

FOOTPRINT #4

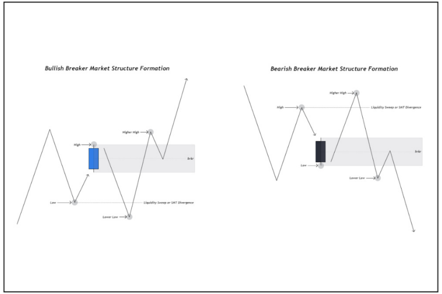
Breaker Blocks

BREAKER BLOCKS

The Breaker Block, mistaken for an 'order block,' forms when market trading deviates from a bearish or bullish range, causing the 'order block' to fail. Market makers return later, stopping out Dumb Money to exit positions, and thus, adding pressure in the true market direction.

Typically, the Breaker Bock forms with a market structure shift pattern:

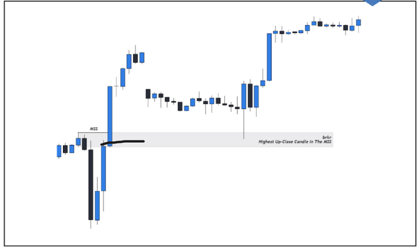
- In bullish ranges, we seek out bullish breaker blocks after the market structure pattern of a low, high, lower low, and higher high is formed.
- In bearish ranges, we seek out bearish breaker blocks after the market structure pattern of a high, low, higher high, and lower low is formed.

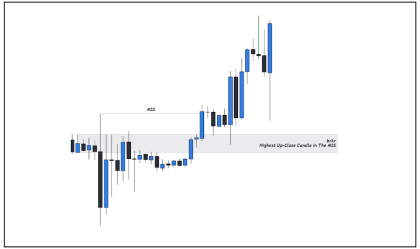


EXAMPLES

Breaker Blocks

BULLISH BREAKER BLOCK

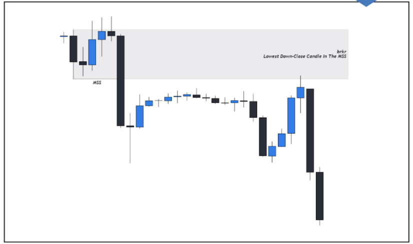




EXAMPLES

Breaker Blocks

BEARISH BREAKER BLOCK



EXAMPLE
Unicorn Model

STEP 1: LIQUIDITY SWEEP OR SMT?

The first step to identifying a Unicorn Model is to look for a Liquidity Sweep. SMT Divergence also makes this setup valid, but to keep things simple we will be looking for a Liquidity Sweep.

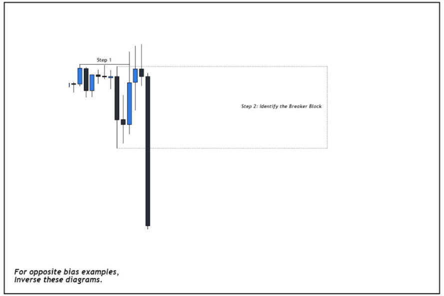
In this example, we are looking at the Hourly chart on NQ from October. As the first step is to identify a liquidity purge, here we can see that we get one. From here, we just wait. Nothing to do yet. WAIT.

EXAMPLE
Unicorn Model

STEP 2: BREAKER BLOCK?

The second step is to identify the breaker block that is created.

In this example, we are looking at the Hourly chart on NQ from October. As the second step is to identify a breaker block, here we can see that we get one. In this case, since we are looking for a bearish breaker, the lowest down close candle in the swing prior to the liquidity sweep will be our bearish breaker block. From here, once again, we just wait. Nothing to do yet. WAIT.

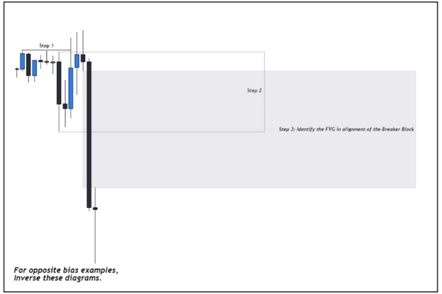


EXAMPLE
Unicorn Model

STEP 3: FVG WITH BREAKER?

The third step is to identify a fair value gap in alignment of the breaker block that was previously created.

In this example, we are looking at the Hourly chart on NQ from October. As the third step is to identify a fair value gap in alignment of the breaker block, here we can see that we get one. From here, once again, we just wait. Nothing to do yet. WAIT.



What is Time and Price?

Time and price refers to the analysis that traders can do using time.

Why is it important?

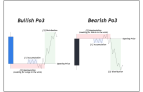
Time and price is important for refining when to look for certain behaviors in price, which levels to trade from, and when to expect expansion vs consolidation.

INTRODUCTION
The Smart Trading Lifecycle

POWER OF 3 (PO3)

The concept of Po3 is that Smart Money positions themselves within the wick of a candle. We look to buy below or sell above the opening price of a candle.

The significance of Po3 lies within how it provides framework for ICT traders; it tells us WHEN and WHERE to trade. There are three phases within each candle: Accumulation, Manipulation, & Distribution.



A - M - D
The Smart Trading Lifecycle

ACCUMULATION

During the Power of 3, the Accumulation phase usually happens within the initial 0%-25% of the designated timeframe. For instance, at the start of a weekly Power of 3, like Monday (within the first 25% of the trading week), we anticipate accumulation. Accumulation denotes a period of consolidation in the market where there's neither a significant upward nor downward trend. This phase is crucial for building liquidity in preparation for the subsequent stages of the Power of 3.

MANIPULATION

During the Manipulation phase of Power of 3, typically unfolding between 25% to 50% of the designated time frame, such as Tuesday or Wednesday in a weekly Power of 3. Here, market makers orchestrate false moves to deceive traders before revealing the genuine market direction. Liquidity accumulated during the prior accumulation phase is manipulated in a direction contrary to the actual trend. This tactic aims to trigger stop-loss orders for traders with correct market assessments and entices others to trade against the true direction, amplifying liquidity for the genuine market movement. This phase paves the way for the distribution stage in Power of 3.

DISTRIBUTION

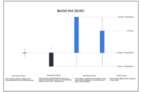
The Distribution phase in Power of 3 typically occurs during the latter 50% to 100% of the designated time range, like Thursdays or Fridays within a weekly Power of 3, marking the final leg of the trading period. It represents the culmination of market dynamics, characterized by large expansion and decisive directional trends. Traders ideally position themselves during the manipulation phase, anticipating and then riding the market momentum throughout the distribution phase, maximizing opportunities presented by the market's true movement..

OLHC - HTF CANDLE
The Smart Trading Lifecycle

BULLISH PO3 - OPEN, LOW, HIGH, CLOSE

Power of 3 Phases:

- Accumulation – Smart Money will create a trading range at the start of a candle open that retail will see as a support and resistance range.
- Manipulation – Smart Money manipulates price into the accumulation range high when bearish, or accumulation range low when bullish to enter their positions for the true market move.
- Distribution – Smart Money moves the market in the true direction intended, purging all SSLQ when bearish, or BSLQ when bullish.



OLHC - LTF PA
The Smart Trading Lifecycle

BULLISH PO3 - OPEN, LOW, HIGH, CLOSE

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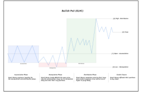

OHLC - HTF CANDLE
The Smart Trading Lifecycle

BEARISH PO3 - OPEN, LOW, HIGH, CLOSE

Power of 3 Phases:

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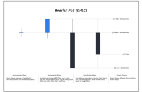

OHLC - LTF PA
The Smart Trading Lifecycle

BEARISH PO3 - OPEN, LOW, HIGH, CLOSE

Power of 3 Phases:

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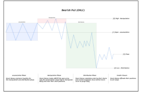


TRADING THE PO3
The Smart Trading Lifecycle

FRAMEWORK

1. Determine the prevailing market trend and bias. If the trend is bearish, anticipate manipulation or liquidity sweeps higher. If the trend is bullish, anticipate manipulation or liquidity sweeps lower.
2. Use the Power of 3 as a confirmation tool for bias, ensuring that liquidity draw occurs at the opposite end of the range. Utilize impulse structure to guide trading decisions.
3. Execute trades in alignment with the identified trend, entering during manipulation phases where footprints are evident. Consider the timing of trades, especially if using weekly or monthly Power of 3, aiming for periods over 25% into the designated timeframe.
4. Focus on trading during active market sessions such as London or New York. Initially, target 2R profits rather than aiming for the entire move to manage risk effectively.

EXECUTION

1. Identify the accumulation phase, marked by consolidation in the market.
2. Wait for the manipulation phase, where opposing liquidity from the accumulation phase is purged.
3. Upon observing the manipulation phase, anticipate a reversal and prepare to execute an entry model aligned with the established strategy.
   - For example, wait for the Optimal Trade Entry (OTE), watch for a Manipulation Stop Sweep (MSS) with Displacement and enter once price retraces to the OTE level.

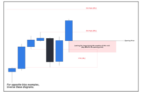
EXAMPLE
The Smart Trading Lifecycle

STEP 1: PO3 CANDLE

The first step to utilizing the Po3 concept is to determine what timeframe you are dissecting. The most common timeframes used for Po3 is the Weekly, Daily, & H4.

In this case, the example will refer to the candle as 'HTF Candle' as this is universally applicable to any timeframe.

The next step is to identify which way the current candle is going to expand. In this example, we can anticipate for a bullish candle since price is trading from IRL to ERL.



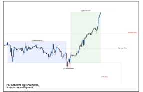
EXAMPLE
The Smart Trading Lifecycle

STEP 2: TIMEFRAME ALIGNMENT

The second step is to drop down to a lower timeframe relative to the HTF candle being used.

If you do not know the timeframe alignment for HTF you are utilizing, please refer to the previous e-book posted covering the topic of Timeframe Alignment.

Once the timeframe alignment has been selected, look for the three phases of Po3. Accumulation, Manipulation, & Distribution.



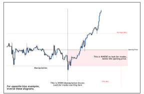
EXAMPLE
The Smart Trading Lifecycle

STEP 3: WHEN AND WHERE TO TRADE

The third step is to hunt for opportunities to get into the markets. Po3 provides framework so that we know WHEN and WHERE to look for trades.

WHEN TO TRADE: Look for trade opportunities during the Manipulation & Distribution phase.

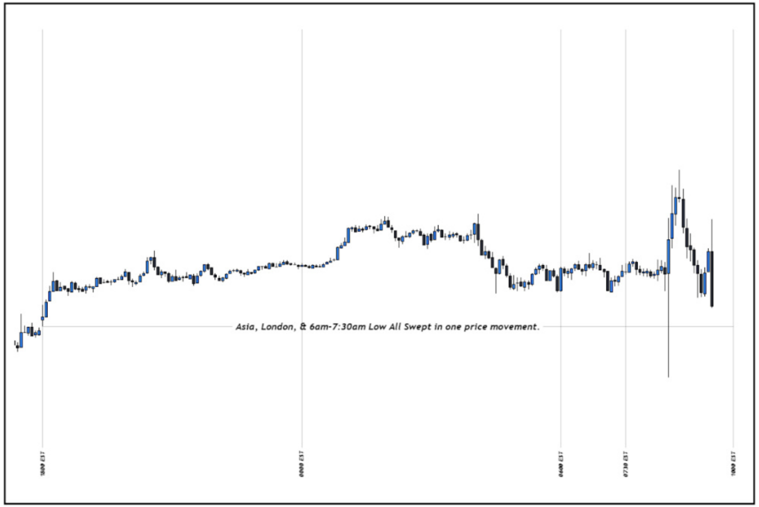
WHERE TO TRADE: Buy BELOW the opening price and Sell ABOVE the opening price of the HTF Candle being dissected.



- Time based liquidity = highs or lows made during certain time periods
- Previous weekly highs/lows
- Previous day's highs/lows
- Previous Asia Session (1800-0000) highs/lows
- Previous London Session (0000-0600) highs/low
- 0600-0730 highs/lows

At 9:30am EST in the morning, we begin to prepare our charts by annotating the time based liquidity pools of Asia Session, London Session, and 6am-7:30am.

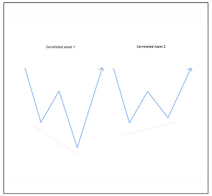
In this example, we can see that price sweeps the lows of all three liquidity pools and fails to displace lower, but rather displaces higher. In this scenario, we are looking for bullish price action.



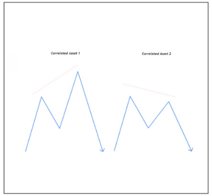
INTRODUCTION

SMT Divergence

BULLISH SMT



BEARISH SMT



WHAT IT IS

SMT is 'Smart Money Tool'. We use this to identify when manipulation is occurring within correlated assets and so, gives signs of institutional sponsorship.

SIGNIFICANCE

The significance of SMT is commonly found when the high/low during any defined range in time is put in. When SMT occurs, this is where you will find turtle soup entries. When there is a crack in correlation between correlated markets, the markets are tipping their hand to you.

APPLICATION

This concept can be applied to any correlated assets. For example, Index Futures would be NQ, YM, ES, & DXY. As the markets should move in tandem with each other, SMT divergence may be spotted when one market is creating a higher high/lower low and the correlated market is failing to make a higher high/lower low. The key to using SMT correctly is where and when they occur.

SMT Divergence

EXAMPLES

SMT Divergence

EXAMPLE 2

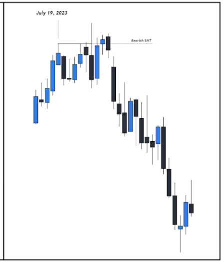
In this first example we are taking a look at the Daily chart of NQ and ES. For Index Futures, NQ, ES, YM, & DXY are the assets to look at for SMT.

From this example we can observe how price bearishly expands from the bearish SMT. On ES this is where the Turtle Soup entry is provided, whereas traders looking at NQ are still waiting for a liquidity raid.

It's important to note when these swing points in the market occurred to get an accurate representation of SMT (manipulation) within correlated markets.

NQ

ES



EXAMPLES

SMT Divergence

EXAMPLE 3

In this first example we are taking a look at the Daily chart of EU and DXY. For Major Forex Pairs, DXY is the pair to look at for SMT.

One thing to note is that DXY is inversely correlated with other assets, meaning that we look at the highs of DXY while looking at the lows of EU. Vice versa. In this case, the Turtle Soup entry is presented on DXY.

It's important to note when these swing points in the market occurred to get an accurate representation of SMT (manipulation) within correlated markets.

EU

DXY

EXAMPLES

SMT Divergence

EXAMPLE 1

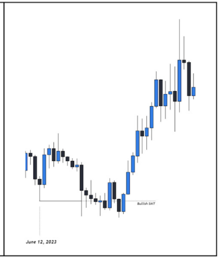
In this first example we are taking a look at the Weekly chart of BTCUSD and ETHUSD. For crypto, BTC and ETH are the pairs to look at for SMT.

From this example we can observe how price bullishly expands from the bullish SMT. On Ethereum this is where the Turtle Soup entry is provided, whereas traders looking at Bitcoin are still waiting for a liquidity raid.

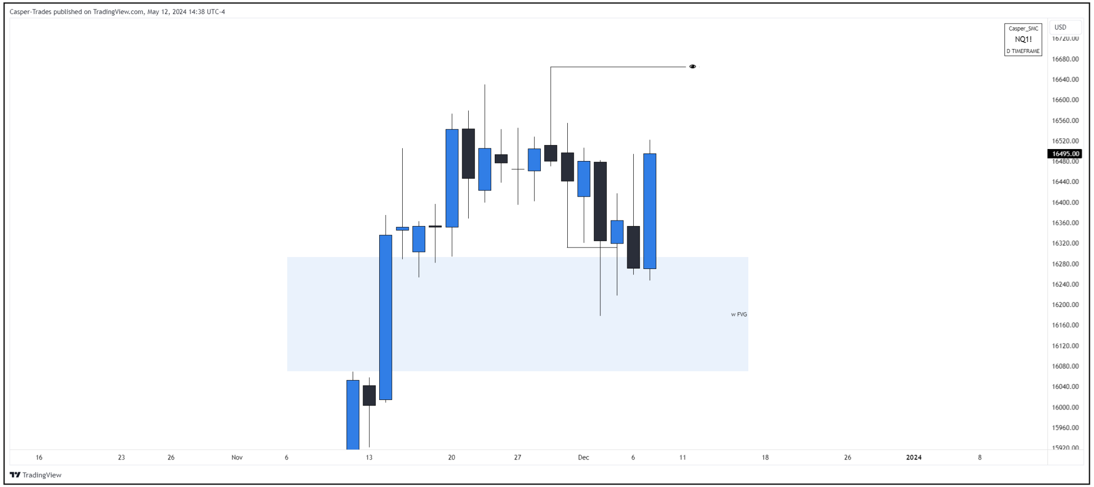
It's important to note when these swing points in the market occurred to get an accurate representation of SMT (manipulation) within correlated markets.

BTCUSDT

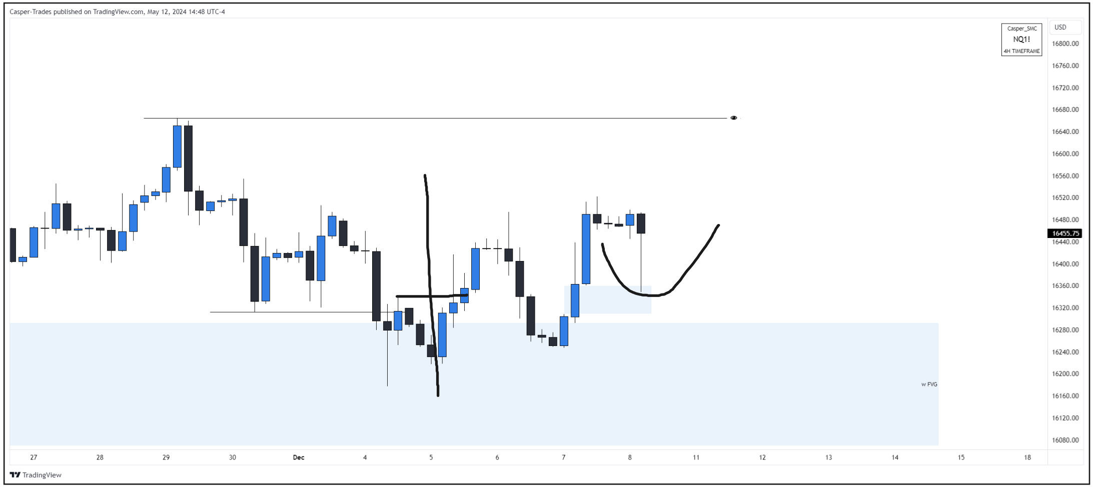
ETHUSDT



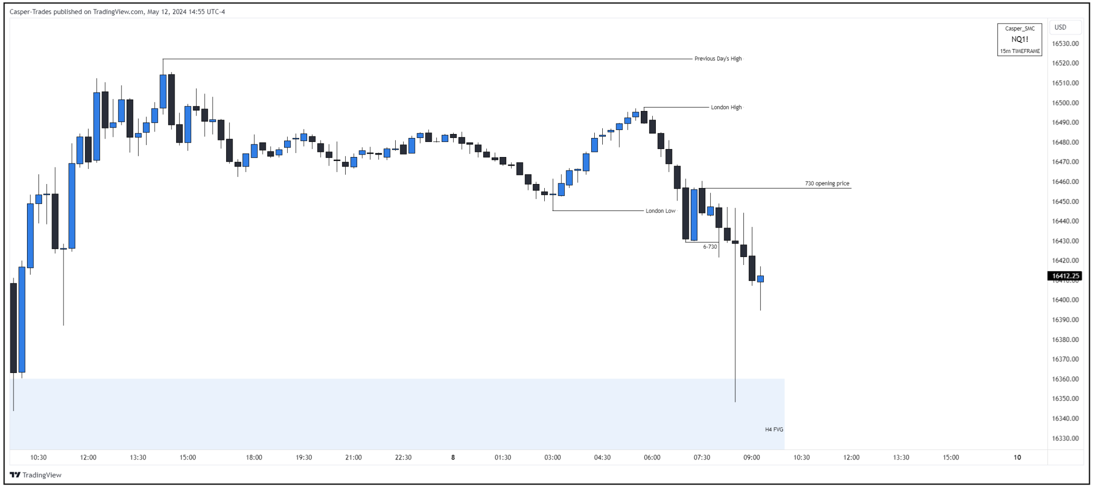
1. Weekly IRL/ERL
2. Weekly Candle Bias



1. Daily IRL/ERL
2. Daily Candle Bias



1. H4/H1 Market Maker Model



M15 IRL/ERL

Reaction to TBL and 730 open

Entry Checklist

2 + LTF Confirmation Required

1. HTF = LTF
2. HTF IRL/ERL = LTF MMXM
3. Manipulation beyond session open/TBL swept
4. HTF Key Level
5. LTF Confirmation (required)


PDH
London High
London Low
0600-0730 Low
MSS
05:30
06:00
06:30
07:00
07:30
08:00
08:30
09:00
09:30
10:00

Risk Management

- R = Total Drawdown / Number of Consecutive Losses Likely
- 1R risk from breakeven
- 2R risk when 2R in profit
- 0.5R risk when in drawdown
- 2 losses OR 1 win = STOP TRADING
- Trimming is better than breakeven stops

Week

- True Week Open 1800 Monday
- Monday = Accumulation (expansion if previous Friday accumulated
- Tuesday= Manipulation (Accumulation if Monday expanded)
- Wednesday = Manipulation/Distribution
- Thursday = Distribution/Continuation/Reversal
- Expect either AMDX or XAMD in any defined range of time based on the previous cycle

Day

- Midnight Open
- Asia Session 1800 - 0000
- London Session 0000-0600 (focus on 0130 - 0430)
- Ny AM Session 0600-1200 (focus on 0900-1030)
- NY PM Session 1200-1800
- Each can be broken into 1/4s
- Expect either AMDX or XAMD in any defined range of time based on the previous cycle